

International Political Economy (SOCS-SHU 222)

A SOCIETY-CENTERED APPROACH TO
MONETARY AND EXCHANGE-RATE POLICIES

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A Society-Centered Approach to Monetary and Exchange-Rate Policies

READING ASSIGNMENT:

Oatley Chapter 12

Why would you want...

- Free Capital Flow?
 - Draw on the savings of the rest of the world
 - Investment opportunities abroad
- Fixed Exchange Rate?
 - Reduce uncertainty in trade
- Sovereign Monetary Policy?
 - Address inflation/unemployment

Trade & international capital flows lead to imbalances

How do governments deal with these imbalances?

❖ Fixed exchange rate → sacrifice monetary policy

OR:

❖ Floating exchange rate → sacrifice certainty in international exchanges

Trade-off between

❖ exchange rate stability

versus

❖ domestic price stability with monetary policy autonomy

What will governments choose?

Society-based models of monetary & XR politics

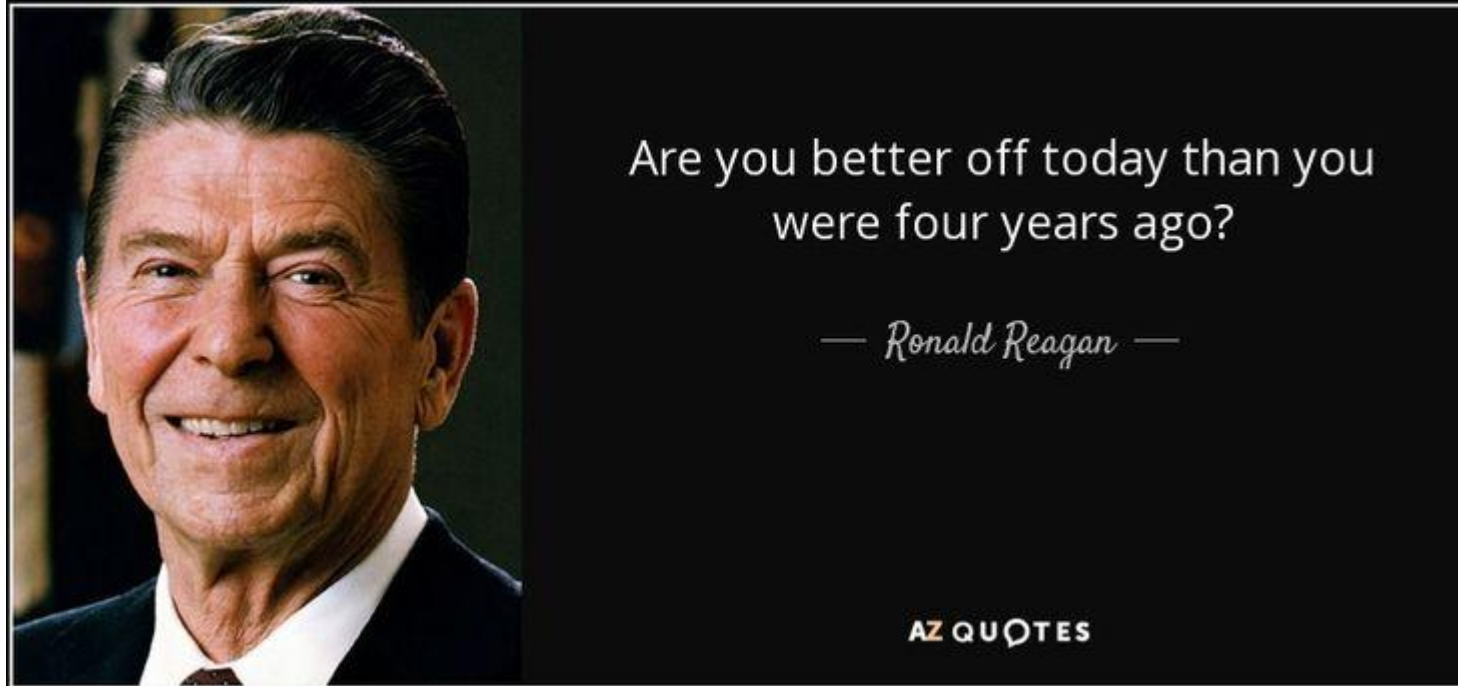
1. Electoral models
2. Partisan models
3. Sectoral models

Assuming free capital flows...

Governments must choose between

- monetary policy autonomy
- XR stability

1. Electoral Models



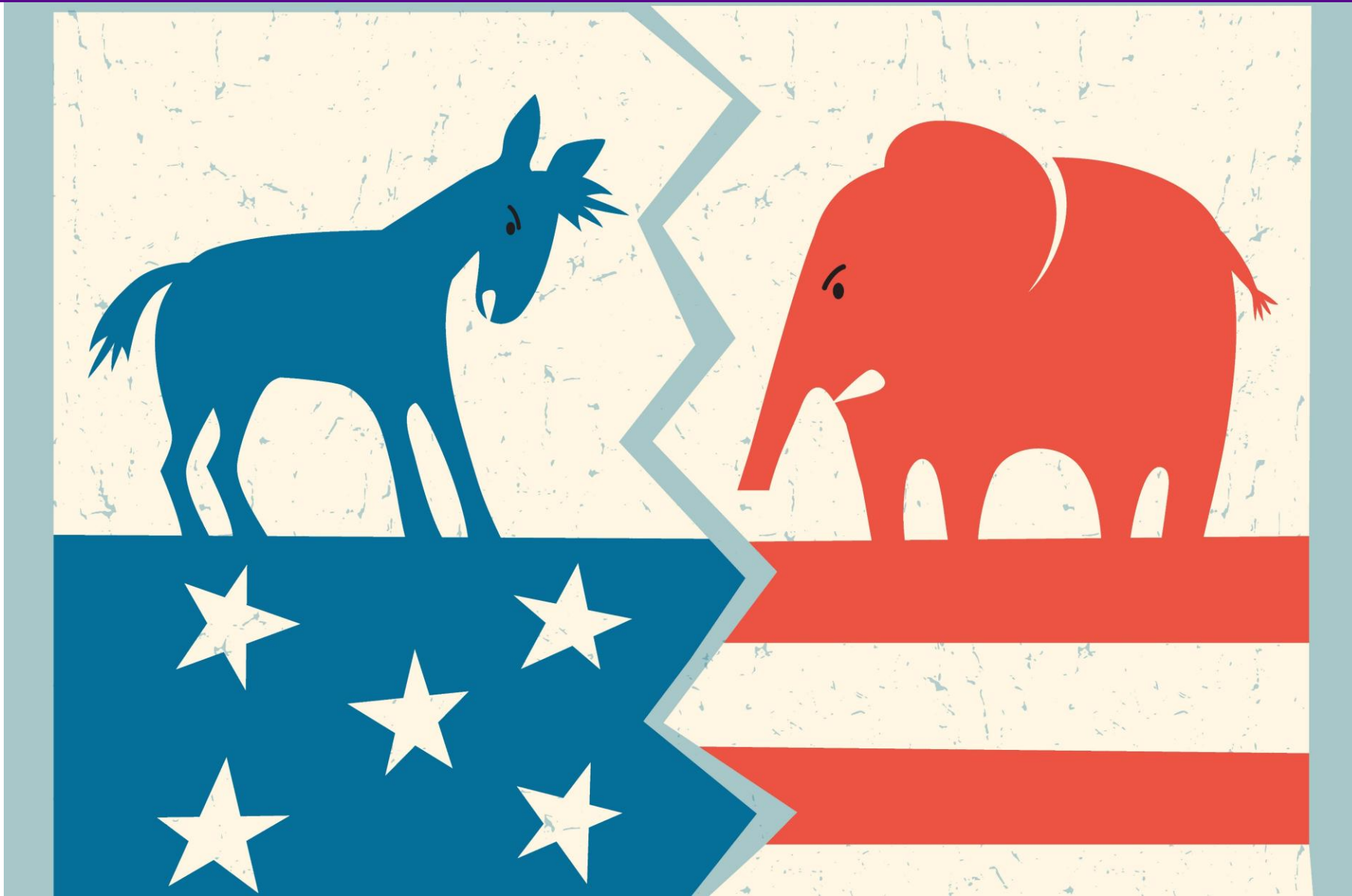
1. Electoral Models

- Prediction: Democracies choose floating XR →
 - monetary autonomy used to manipulate political-business cycles (PBC)
 - PBC: adopt expansionary policies in election years
- If there is a fixed XR →
 - commitment may not be credible before elections (elections like the Sirens!)
 - Pocketbook voter model – people vote according to changes in their income
 - <http://www.youtube.com/watch?v=loBe0WXts8>
- Sociotropic model – voters consider macro performance (economic growth, unemployment, inflation)

Political-business cycles (PBC)?

- Governments may be less willing to accept monetary policy constraints before an election
- Problem 1: empirical – debate over whether we really observe PBCs
- Problem 2: theoretical – if voters are rational, they shouldn't be fooled by a PBC (short-run employment eaten up by eventual inflation)
- Kaplan: Lately in Latin America, we see COUNTER-PBCs!
 - International explanation: lack of international finance since Latin American Debt Crisis
 - Domestic explanation: Hyper-inflation history makes voters ***“inflation-averse”***

2. Partisan Models

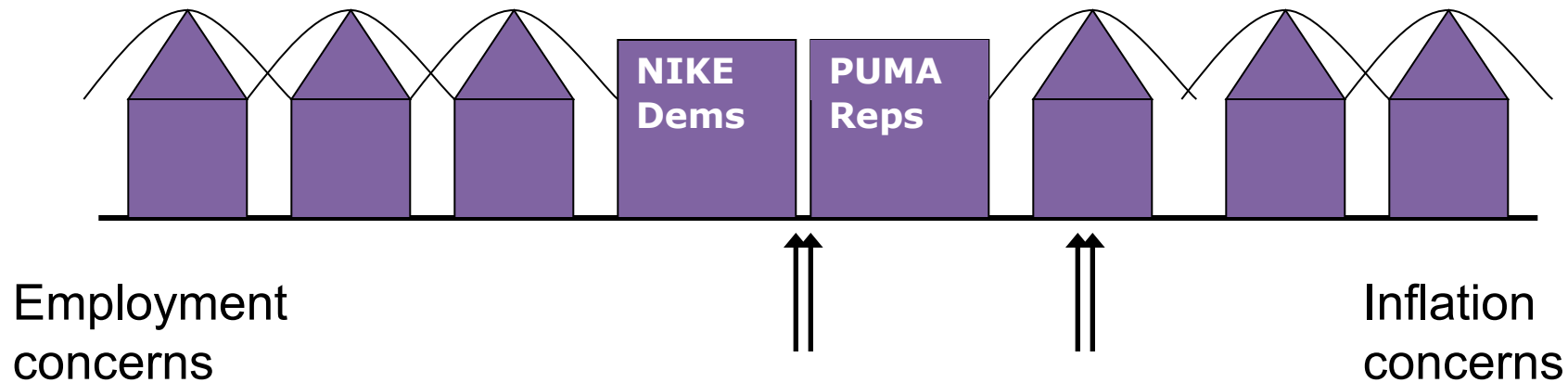


2. Partisan Models

- Left-wing parties are “pro-employment”
 - Tied to organized labor
- Right-wing parties are “anti-inflation”
 - Tied to business interests
- Prediction:
 - Right-wing governments more likely than left-wing governments to establish & maintain a fixed XR
- It is possible to connect this to the electoral model:
 - Voters choose left-wing parties during recessions & right-wing parties under inflation
- Some partisan models suggest, however, *convergence* of party positions (specifically in 2 party systems)

Downs offers a “spatial” model of party competition

- Based on Hotelling’s (1929) model
 - Where should PUMA locate if people shop at stores closest to their house?



Vote single-peaked preferences

In a 2-party system, where will the left & right parties locate?

What happens when somebody decides not to vote?

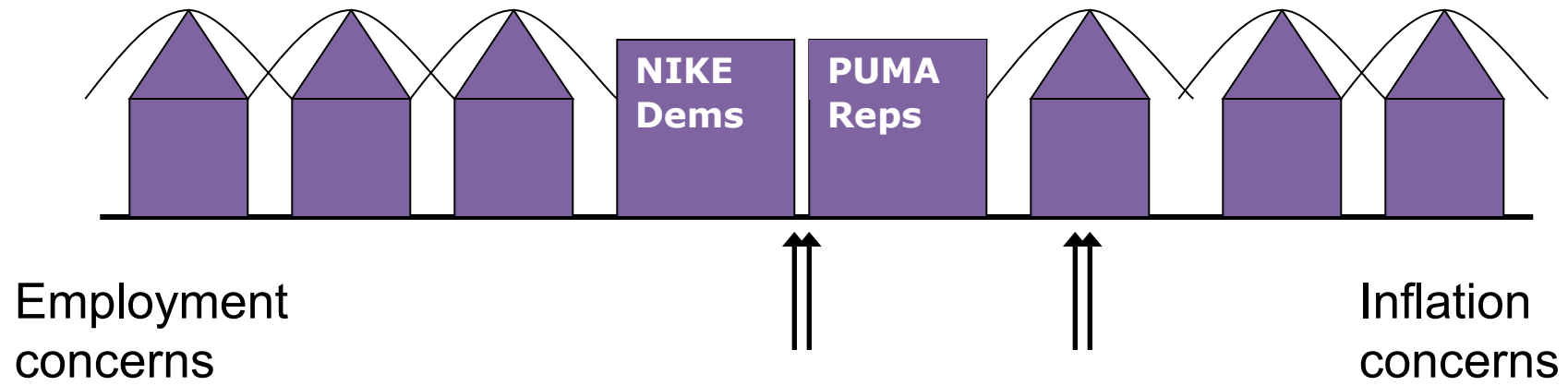
Median preference shifts away from the absent voter

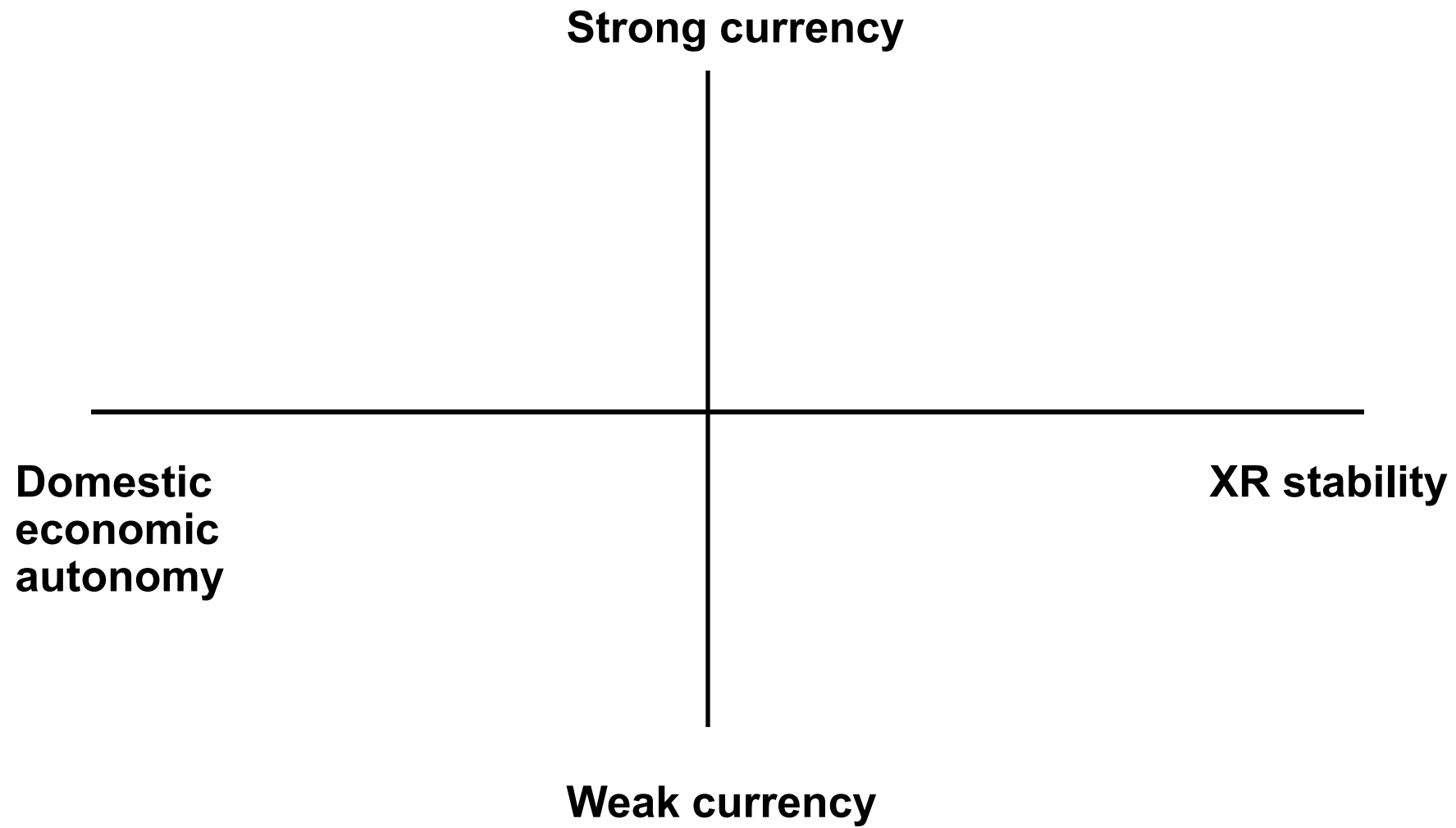
Final thought on “partisan” models

- As we move into “sectoral models,”
- Consider that in the “partisan” model, we have
 - Left – labor-oriented – parties
 - VS
 - Right – business oriented – parties
- What does this “ontology” recall from our trade models?
- What model is based on labor & owners of capital?
- FACTOR MODEL
- So, you can think of the “partisan model” as analogous to the “factor model”

3. Sectoral Models

- Interest groups have different preferences on the trade-off between domestic
 - economic autonomy & XR stability
- Some groups prefer XR stability
- Others groups prefer domestic economic autonomy (sovereign monetary policy)
- Obviously (given the name of the model) the interest groups are based on
sector





Four domestic interest groups

1. Export-oriented producers
2. Import-competing producers
3. Nontraded-goods producers
4. Financial services industry

Four domestic interest groups

1. Export-oriented producers: Boeing, etc.
2. Import-competing producers: US steelmakers, etc.
3. Nontraded-goods producers: Local hair salon, etc.
4. Financial services industry: Goldman Sachs, etc.

1. What exchange rate regime does your sector likely prefer—fixed or floating?
2. Would your sector benefit more from a strong or weak currency?

Fixed or Float / Strong or Weak?

- Export-oriented producers prefer...
 - **Fixed XR:** stability for their international transactions
 - **Weak XR:** keeps the price of their products world markets low (keeps demand high) 😊
- Import-competing producers prefer...
 - **Floating XR:** prefers monetary policy to address recessions/inflation
 - **Weak XR:** keeps the price of imports high! This spurs domestic demand 😊
- Nontraded-goods producers prefer...
 - **Floating XR:** prefers monetary policy to address recessions/inflation
 - **Strong XR:** consume more traded goods, travel more, pay for tuition 😊

Fixed or Float / Strong or Weak?

- Financial services industry prefer...
 - XR stability leads to more international transactions...
 - But XR volatility leads to XR-risk business...
 - And monetary autonomy helps maintain a stable domestic banking system, low inflation, and more stable interest rates
- **So: A weak preference for Floating XR**
- As for currency strength: buy foreign assets when XR is strong, repatriate returns when the XR is weak
- **So: No preference on XR strength**

Sectoral XR Preferences Summary

XR stability preference

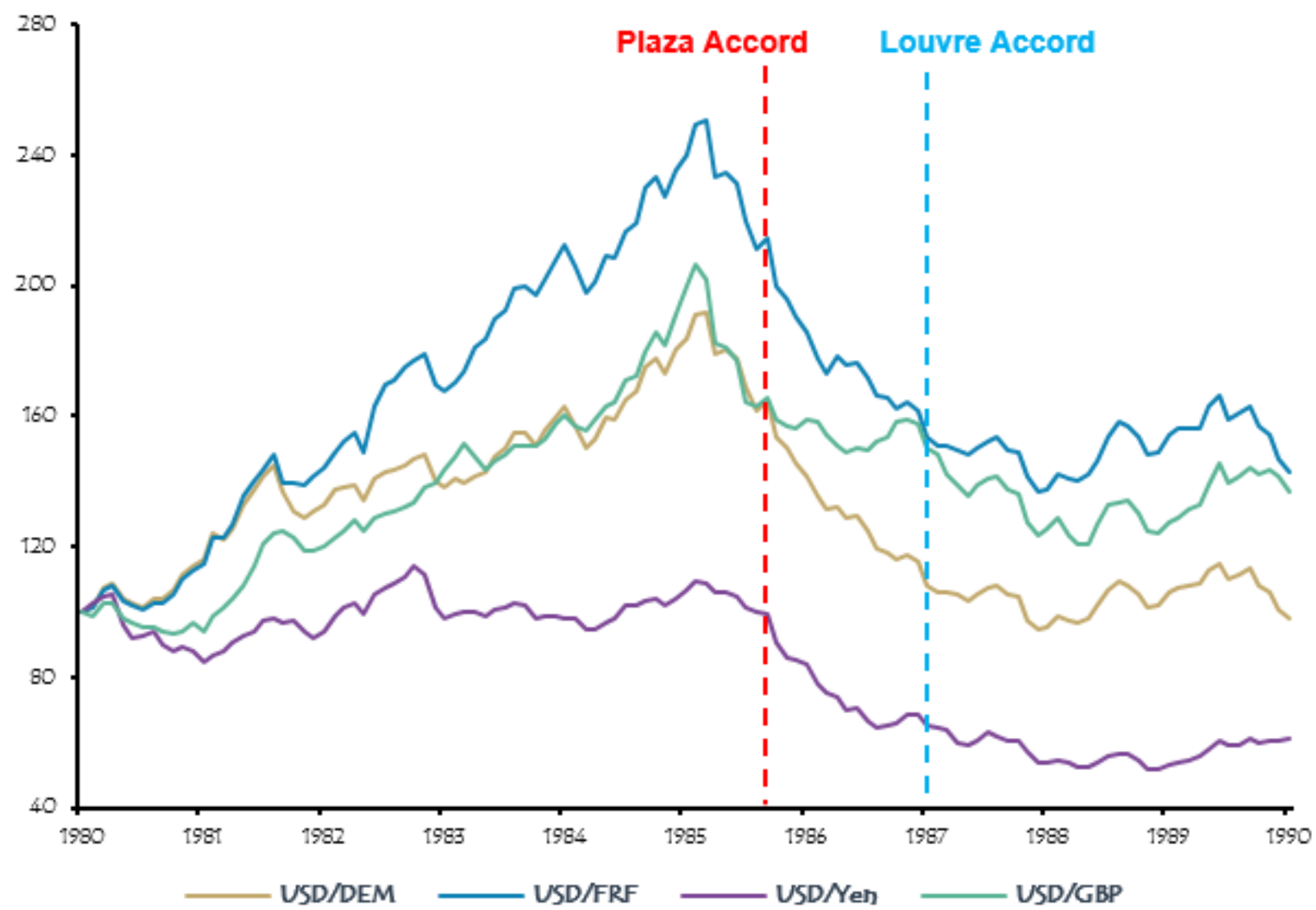
		XR stability preference	
		High/fixed	low/float/ monetary autonomy
XR strength preference	Strong currency	???	Nontradable
	Weak currency	Export-oriented	Import-competing

Financial services

Why is the US dollar special?

Overvaluation of the Dollar

- International reserve currency
- Early 1980s: Reagan's fiscal expansion – cut taxes, increased spending →
- Current account deficit →
- Increased interest rates and capital inflows (from, e.g., Japan) →
- Value of the dollar goes up!
- Plaza Accord (fall 1985): G5 agreed to reduce the value of the dollar against the yen & mark by 10-12% – sell dollars if it appeared the value was going to increase
- By early 1987, dollar had depreciated 40%



Similar Situation Today

- US twin deficits: fiscal & current account
- Japan, Europe, China, current account surpluses →
- Finance the American deficit

What's the worry?

- Catastrophe!
- Doubts about the solvency of American financial institutions & American assets➔
- Foreign lenders reluctant to continue to accumulate dollar-denominated assets➔
- Trigger massive sales of current holdings?

Thank You!



Take-away

1. Electoral models – democracies prefer floating XR
2. Partisan models – left prefers float, right prefers fixed
3. Sectoral models:
 - export-oriented prefers weak, fixed
 - import-competing prefers weak, float
 - non-tradable prefers strong, float
 - finance prefers float (strength doesn't matter)